

Tesla, Inc.
TSLA NASDAQ

Hold \$371.94 ▲ 5.04% 12M Price Target \$420.00 52-Week Range \$297.38 – \$498.83

Market Cap \$1.47T

TSLA: Big 5% Pop on Unusual Call Buying, Q3 Deliveries Loom

WHAT HAPPENED

- TSLA ripped +5% today on heavy volume after chopping sideways all week — and the tell is in the options tape. Someone slammed 205K call contracts at the \$372.50 strike expiring in October, which is 30x the existing open interest (meaning 30x more contracts than were sitting there before). Translation: a very large buyer is betting hard that TSLA pops in the next few weeks — and the most obvious catalyst is Q3 delivery numbers, which Tesla typically reports in the first few days of October.
- Consumer Discretionary (the sector TSLA lives in) led the market today at +1.28%, so this isn't just a Tesla story — but TSLA massively outperformed the sector, suggesting stock-specific positioning ahead of a known catalyst.

WHY IT MATTERS

Here's what I think is really happening: the smart money is front-running the Q3 delivery print. If deliveries beat (whisper number is around 460-470K units), this stock has room to run to \$400+ because sentiment has been beaten down by the expiration of the \$7,500 federal EV tax credit on Sept 30. Here's the twist — that tax credit sunset actually *pulled forward* demand into Q3 as buyers rushed to lock in the savings, so deliveries could look artificially strong. The real question is what Q4 looks like without that subsidy crutch, and that's the shoe that could drop in late October on the earnings call.

POLICY & POLITICAL WATCH

The big policy event just happened: the \$7,500 federal EV tax credit officially expired September 30 under the Trump administration's rollback of Biden-era IRA provisions. This is a direct headwind — Tesla's cheapest Model 3 just effectively got \$7,500 more expensive overnight for US buyers. On the flip side, the administration's push to loosen autonomous vehicle regulations is a real tailwind for the Robotaxi / FSD narrative, and NHTSA has been signaling a more permissive framework for self-driving deployment. Also watch Chinese tariffs — Tesla's Shanghai gigafactory and battery supply chain are directly exposed if trade tensions escalate again.

IS IT EXPENSIVE?

TSLA trades at roughly 150x forward earnings — meaning investors pay \$150 for every \$1 of profit the company is expected to make next year. For context, Toyota trades around 10x and even Nvidia trades near 35x. You're not buying a car company at this price; you're buying a bet that Robotaxi, Optimus (the humanoid robot), and FSD actually scale into real businesses. If any of those stumble, the valuation has nowhere to hide.

WHAT COULD GO WRONG

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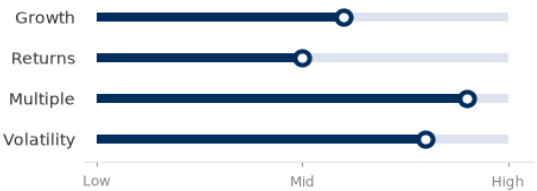
AI-Generated Pre-Market Brief | 2026-10-02 18:06 UTC

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Key Data

Price (USD)	\$371.94
12M Price Target	\$420.00
Upside / (Downside)	+12.9%
Market Cap	\$1.47T
FY2026E Revenue	\$112M
FY2027E Revenue	\$135M
FY2026E EPS	\$2.45
FY2027E EPS	\$3.60
Fwd P/E	152.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$400.00	\$375.00	\$340.00
6 Months	\$460.00	\$390.00	\$310.00
1 Year	\$500.00	\$420.00	\$290.00
2 Years	\$600.00	\$450.00	\$260.00
5 Years	\$800.00	\$500.00	\$220.00
10 Years	\$1200.00	\$650.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+1.28%) and Tech (+0.99%) led today — classic risk-on behavior, likely tied to rate cut expectations as the Fed signals more easing into year-end.

COOLING OFF: Comm Services (-2.31% over 5 days) and Real Estate (-1.60%) are lagging, suggesting money is rotating OUT of defensive yield plays and INTO growth.

ROTATION WATCH: Money is flowing back into high-beta megacaps (TSLA, the Mag 7) as traders position for a dovish Fed and a seasonal Q4 rally. That's a tailwind for TSLA independent of its own fundamentals.

RELATED PLAY: If you believe the Robotaxi/AI story, the picks-and-shovels plays are the chip suppliers (NVDA for compute) and the lithium/battery material names (ALB) that benefit from any EV demand recovery.

WHO'S WINNING IN THIS SPACE?

- RIVN (Rivian): Benefiting from the same EV sentiment bounce, plus VW partnership cash cushion.
- BYDDY (BYD): Crushing it on Chinese EV demand and expanding into Europe/LatAm aggressively.

TSLA CONTEXT: TSLA is leading its EV peers today, which tells me this move is Tesla-specific (delivery setup + options flow), not a broad EV rally. That's actually a yellow flag — if the whole group isn't moving together, the move is more fragile and more likely to reverse if the catalyst disappoints.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously neutral. The setup into Q3 deliveries is bullish short-term, but the valuation and policy headwinds make me unwilling to chase here.

POSITION SIZE: 2-4% of portfolio. TSLA swings 5% on a random Tuesday — size it so you can sleep through a 20% drawdown.

ENTRY POINTS: I'd rather buy the \$340-355 range on a post-delivery dip than chase today's pop. Chasing +5% moves into a known catalyst is how retail gets picked off.

TIME HORIZON: 12-24 months — you need time for the Robotaxi story to either prove out or definitively fail. Catalyst to watch: Q3 earnings call in late October and any Robotaxi expansion announcements.

WHEN TO BAIL: If Q4 guidance signals >15% delivery decline, or if Robotaxi gets pushed to 2028+, the thesis is broken and I'd exit.

HEDGING: Buy a put option 10% below current price as insurance — think of it like fire insurance on your house, you pay a small premium so a disaster doesn't wipe you out. Or pair the long with a short in a legacy automaker that gets hurt by the same EV headwinds.